

A.28 The Junior Hiring Decline—Heterogeneity by Sector

This appendix examines heterogeneity in the decline in junior hiring by sector. For this, we re-estimate Equation 15 for junior hires separately by sector. Results are presented in Figure A.30. Across all sectors, adopting firms exhibit a sharp and statistically significant relative decline in junior hiring after 2023Q1, while senior hiring remains stable or increases slightly. This pattern indicates that the contraction in junior hiring is broad-based across industries and not driven by any single sector disproportionately reducing demand for junior workers.

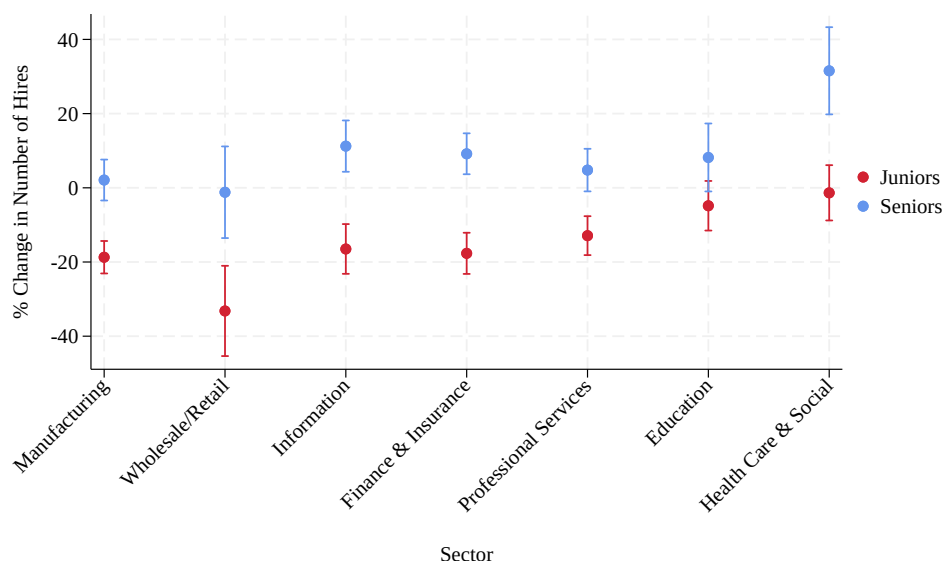


Figure A.30: Estimated Effects of Generative AI Adoption on Hiring by Sector

Notes: Sectors correspond to the following NAICS classifications: Manufacturing (31–33), Wholesale/Retail (42, 44–45), Information (51), Finance & Insurance (52), Professional Services (54), Education (61), and Health Care & Social Assistance (62). All coefficients are normalized by the pre-2022 average number of hires in each sector-adoption group. Standard errors are clustered by firm.